

CHAPTER SEVEN

7. CONTROLLING

7.1. The Meaning Of Control

Controlling is directly related to planning. The controlling process ensures that plans are being implemented properly. In the functions of management cycle - planning, organizing, directing, and controlling - planning moves forward into all the other functions, and controlling reaches back. Controlling is the final link in the functional chain of management activities and brings the functions of management cycle full circle.

Control is the process through which standards for performance of people and processes are set, communicated, and applied. Effective control systems use mechanisms to monitor activities and take corrective action, if necessary. The supervisor observes what happens and compares that with what was supposed to happen. He or she must correct below-standard conditions and bring results up to expectations. Effective control systems allow supervisors to know how well implementation is going. Control facilitates delegating activities to employees. Since supervisors are ultimately held accountable for their employees' performance, timely feedback on employee activity is necessary.

7.1.1. Control Process

The control process is a continuous flow between measuring, comparing and action.

There are four steps in the control process: establishing performance standards, measuring actual performance, comparing measured performance against established standards, and taking corrective action.

Step: 1. Establish Performance Standards. Standards are created when objectives are set during the planning process. A **standard** is any guideline established as the basis for measurement. It is a precise, explicit statement of expected results from a product, service, machine, individual, or organizational unit. It is usually expressed numerically and is set for quality, quantity, and time. **Tolerance** is permissible deviation from the standard. What is expected? How much deviation can be tolerated?

- **Time controls** relate to deadlines and time constraints.
- **Material controls** relate to inventory and material-yield controls.
- **Equipment controls** are built into the machinery, imposed on the operator to protect the equipment or the process.

- **Cost controls** help ensure cost standards are met. Employee performance controls focus on actions and behaviors of individuals and groups of employees.
- **Financial controls** facilitate achieving the organization's profit motive. One method of financial controls is budgets. Budgets allocate resources to important activities and provide supervisors with quantitative standards against which to compare resource consumption.
- **Operations control methods** assess how efficiently and effectively an organization's transformation processes create goods and services. Methods of transformation controls include **Total Quality Management (TQM)** statistical process control and the inventory management control. **Statistical process control** is the use of statistical methods and procedures to determine whether production operations are being performed correctly, to detect any deviations, and to find and eliminate their causes.
- **Inventory** is a large cost for many organizations. The appropriate amount to order and how often to order impact the firm's bottom line. The economic order quantity model (EOQ) is a mathematical model for deriving the optimal purchase quantity. The EOQ model seeks to minimize total carrying and ordering costs by balancing *purchase costs*, *ordering costs*, *carrying costs* and *stock out costs*. In order to compute the economic order quantity, the supervisor needs the following information: forecasted demand during a period cost of placing the order, that value of the purchase price, and the carrying cost for maintaining the total inventory.
- **The just-in-time (JIT)** system is the delivery of finished goods just in time to be sold, subassemblies just in time to be assembled into finished goods, parts just in time to go into subassemblies, and purchased materials just in time to be transformed into parts. Communication, coordination, and cooperation are required from supervisors and employees to deliver the smallest possible quantities at the latest possible date at all stages of the transformation process in order to minimize inventory costs.

Step 2. Measure Actual Performance. Supervisors collect data to measure actual performance to determine variation from standard. Written data might include time cards, production tallies, inspection reports, and sales tickets. Personal observation, statistical reports, oral reports and written reports can be used to measure performance. **Management by walking around**, or observation of employees working, provides unfiltered information, extensive coverage, and the

ability to read between the lines. While providing insight, this method might be misinterpreted by employees as mistrust. Oral reports allow for fast and extensive feedback.

Step 3. Compare Measured Performance Against Established Standards. Comparing results with standards determines variation. Some variation can be expected in all activities and the **range of variation** - the acceptable variance - has to be established. **Management by exception** lets operations continue as long as they fall within the prescribed control limits. Deviations or differences that exceed this range would alert the supervisor to a problem.

Step 4. Take Corrective Action. The supervisor must find the cause of deviation from standard. Then, he or she takes action to remove or minimize the cause. If the source of variation in work performance is from a deficit in activity, then a supervisor can take immediate corrective action and get performance back on track. Also, the supervisors can opt to take basic corrective action, which would determine how and why performance has deviated and correct the source of the deviation. Immediate corrective action is more efficient; however basic corrective action is the more effective.

7.2. Importance and Nature of Controlling

Control systems must be designed properly to be effective. When control standards are inflexible or unrealistic, employees cannot focus on the organization's goals. Control systems must prevent, not cause, the problems they were designed to detect.

Performance variance can also be the result of an unrealistic standard. The natural response for employees whose performance falls short is to blame the standard or the supervisor. If the standard is appropriate, then it is up to the supervisor to stand his or her ground and take the necessary corrective action.

Good controlling is characterized by the following.

- Suitability- good controlling is obviously appropriate to the nature, needs and circumstances of a firm and each level of activity inside it.
 - Pragmatic- good controlling is flexible enough that it can be adjusted to fit the needs of any modification or change in a plan. Its usefulness or use value is observable and clear.
 - Quick Reporting- Since time is an important element in enforcing a control system, man ideal control system enables any supervisor to report quickly.
 - Objective- A good control is not arbitral and subjective. It aims at reaching tangible results.
 - Economical- An ideas control must not be expensive.
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- Simple- A good Control is easy to understand and operate.
- Internal Corrective Mechanism- An ideal control provider for solutions to the problems that cause deviations.

7.3. Types of Control Methods

Controls are most effective when they are applied at key places. Supervisors can implement controls before the process begins (feed forward), during the process (concurrent), or after it ceases (feedback).

- Feed forward controls** focus on operations before they begin. Their goal is to prevent anticipated problems. An example of feed forward control is scheduled maintenance on automobiles and machinery. Regular maintenance feeds forward to prevent problems. Other examples include safety systems, training programs, and budgets.
- Concurrent controls** apply to processes as they are happening. Concurrent controls enacted while work is being performed include any type of steering or guiding mechanism such as direct supervision, automated systems (such as computers programmed to inform the user when they have issued the wrong command), and organizational quality programs.
- Feedback controls** focus on the results of operations. They guide future planning, inputs, and process designs. Examples of feedback controls include timely (weekly, monthly, quarterly, annual) reports so that almost instantaneous adjustments can be made.